THE PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT MID TERM JOINT EXAMINATION

FORM THREE
062 BOOK KEEPING
MARKING SCHEME AUGUST 2026

SECTION A

1. **10tick@1mark=10marks**

i.	ii.	iii.	iv.	v.	vi.	vii.	viii.	ix.	x.
B	C	C	B	D	A	B	A	D	E

2. **05tick@1mark=5marks**

i.	ii.	iii.	iv.	v.
D	A	C	G	F

SECTION B

3. **The accounting concepts:**
   i. **Realization concept/revenue recognition concept:** According to this concept revenue is recognized when a sale is made or an accountant only recognizes a profit when the goods are sold or services are rendered. Revenue should be recognized when it both realized or realisable and earned.
   ii. **Matching concept**: This concept implies that revenues should be matched against expenses/costs in order to determine the profit or loss for the particular accounting period.
   iii. **Historical cost concept/cost concept:** This concepts state that, assets should be recorded and reported at their original cost when acquired by an enterprise.
   iv. **Consistency principle:** It states that an entity should not change its accounting methods frequent from one period to another.
   v. **Dual aspect concept/duality concept:** This basic concept in accounts which states that every transaction must be recorded twice. This is the basic concept in accounting.

4. (a)**Type of expenditure**

S/N	Expenditure
i.	Capital expenditure
ii.	Revenue expenditure
iii.	Revenue expenditure
iv.	Revenue expenditure
v.	Capital expenditure

(b)**Dr** **Salaries account** **Cr**

Date	Particular	F	Amount	Date	Particular	F	Amount
1/1/20	Prepaid	b/d	19,500,000	1/1/20	Outstanding	b/d	11,300,000
	Cash		75,200,000	31/12/20	Income state		85,200,000
31/12/20	Outstanding	c/d	10,500,000	31/12/20	Prepaid	c/d	8,700,000
			105,000,000				**105,200,000**
1/1/21	Prepaid	b/d	8,700,000	1/1/21	Outstanding	b/d	10,500,000

5. **BANK RECONCILIATION STATEMENT**

DETAILS	**TZS**	**TZS**
Balance as per cash book		2,880,000
Add: Unpresented cheque	642,000	
	1,110,000	
	90,000	
Dividend	282,000	2,124,000
		5,004,000
Less: Uncredited cheque	4,626,000	
Bank charge	105,000	
Dishonored cheque	54,000	(4,785,000)
Balance as per Bank statement		**219,000**

6. **JOURNAL ENTRY**

Name of account	**Dr**	**Cr**
Sales account	144,000	
Suspense account		144,000
Insurance account	64,000	
Suspense account		64,000
Suspense account	80,000	
Debtor account		80,000
Cash account	58,000	
Purchases account		58,000

Dr **Suspense Account** **Cr**

Details	**Amount**	**Details**	**Amount**
Difference from trial balance	128000	Sales	144,000
Debtors	80,000	Insurance	64,000
	208,000		**208,000**

SECTION C

7. **Depreciation table on straight line method**

Asset	Cost	Date of purchase	Date of disposal	Depreciation value			Disposal
				2015	2016	2017	
MV 1	5,000,000	1.Jan.2015	-	1,000,000	1,000,000	1,000,000	-
MV 2	2,500,000	1.Apr.2015	1.Jan2017	375,000	500,000		875,000
MV 3	700,000	1.Jan.2017	-	-	-	140,000	-
				1,375,000	1,500,000	1,140,000	

Dr **Machines Account** **Cr**

Date	Details	Folio	Amount	Date	Details	Folio	Amount
1.1.2015	Bank (MV 1)		5,000,000	31.12.15	Balance	c/d	**7,700,000**
1.4.2015	Bank (MV 2)		2,700,000				
			7,700,000				**7,700,000**
1.1.2016	Balance	b/d	**7,700,000**	31.12.16	Balance	c/d	**7,700,000**
1.1.2017	Balance	b/d	7,700,000	1.1.17	Disposal (MV 2)		2,700,000
1.1.2017	Bank (MV 3)		700,000	31.12.17	Balance	c/d	5,700,000
			8,400,000				**8,400,000**
1.1.18	Balance	b/d	5,700,000				

Dr **Provision for depreciation Account** **Cr**

Date	Particulars	Folio	Amount	Date	Particular	Folio	Amount
31.12.15	Balance	c/d	**1,375,000**	31.12.15	Income state		**1,375,000**
31.12.16	Balance	c/d	2,875,000	1.1.2016	Balance	b/d	1,375,000
				31.12.16	Income state		1,500,000
			2,875,000				**2,875,000**
1.1.17	Disposal (MV 2)		875,000	1.1.17	Balance	b/d	2,875,000
31.12.17	Balance	c/d	3,140,000	31.12.17	Income state		1,140,000
			4,015,000				**4,015,000**
				1.1.18	Balance	b/d	3,140,000

Dr **Machine Disposal Account** **Cr**

Particulars	Amount	Particulars	Amount
MV 2	2,500,000	Provision for depreciation	875,000
		Cash	900,000
		Loss on disposal	725,000
	2,500,000		**2,500,000**

8. **Dr** **Sales ledger control Account** **Cr**

Details	Folio	Amount	Details	Folio	Amount
Balance	b/d	624,200	Balance	b/d	6,420
Credit sales		734,380	Receipt from customer		663,040
Interest charged to debtor		300	Discount allowed		30,420
Debtor dishonoured cheque		6300	Returns inwards		15,640
			Bad debts		8,420
			Transfer		2400
Balance	c/d	7,920	Balance	c/d	646,760
		1,373,100			**1,373,100**
Balance	b/d	646,760	Balance	b/d	7,920

Dr **Purchases Ledger Control Account** **Cr**

Details	Folio	Amount	Details	Folio	Amount
Balance	b/d	3,220	Balance	b/d	552,420
Payment to creditor		592,500	Credit purchases		435,520
Discount received		28,320			
Return outwards		8,420			
Sett-off/transfer		2400			
Balance	c/d	357,460	Balance	c/d	4,380
		992,320			**992,320**
Balance	b/d	4,380	Balance	b/d	357,460

9. **Workings**:

STATEMENT OF AFFAIRS AS AT 31st DECEMBER 2017

DETAILS	TZS	TZS
Assets		
Non-current asset		
Motor van		5,500
Current assets		
Stock	24,200	
Debtors	9,200	

Cash at bank	920	
Cash in hand	194	
Insurance prepaid	340	34,854
Total assets		**40,354**
Capital and liabilities		
Current liabilities		
Creditors		(7,300)
Capital (missing figure)		**33,054**

Dr Two Column Account Cr

Details	**Cash**	**Bank**	**Details**	**Cash**	**Bank**
Balance b/d	194	920	Cash		12,600
Receipt from debtors		94,200	Trade payable	1,310	63,4000
Cash sales	1,540		Rent		3,200
Loan from F Tung		2,500	Insurance		1,900
Bank	12,600		Drawings	Xxx	11,400
			Sundry expenses	180	820
			Balance c/d	272	4,300
	14,334	**97,620**		**14,334**	**97,620**

Figure for drawing is that needed to make cash column balance is 12,572

Dr Account Receivable Control Account Cr

Details	**F**	**Amount**	**Details**	**F**	**Amount**
Balance	b/d	9,200	Bank		94,200
Credit sales (missing)		97,940	Cash		1,540
			Balance	c/d	11,400
		107,140			**107,140**
Balance	b/d	11,400			

Dr Account Payable Control Account Cr

Details	**Folio**	**Amount**	**Details**	**Folio**	**Amount**
Bank (suppliers)		63,400	Balance	b/d	7,300
Cash		1,310	Credit purchases		65,510
Balance (creditors)	c/d	8,100			
		72,810			**72,810**
			Balance	b/d	8,100

INCOME STATEMENT FOR THE YEAR ENDED 31ST DECEMBER 2018

Details	**Amount (TZS)**	**Amount (TZS)**
Sales		97,940
Less: Cost of goods sold		
Opening stock	24,200	
Add: Purchases	65,510	
COGAS	89,710	

Less: Closing stock	(27,100)	(62,610)
Gross profit		35,330
Less: Expenses		
Rent (3,200 + 360)	3,560	
Insurance (1,900 + 340 + 400)	1,840	
Sundry expenses (820 + 180)	1,000	
Depreciation motor van	900	(7,300)
Net profit		**28,030**

STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER 2018

Details	**Amount (TZS)**	**Amount (TZS)**	**Amount (TZS)**
Non-current assets			
Motor van		5,500	
Less: Depreciation		(900)	4,600
Current assets			
Stock		27,100	
Sundry debtors		11,400	
Bank		4,300	
Cash		272	
Insurance prepaid		400	43,472
Total assets			**48,072**
Financed by			
Capital		33,054	
Add: Net profit		28,030	
		61,084	
Less: Drawing	(12,572+11,400)	23,972	37,112
Non-current liability			
Loan ➔F Tung		2,500	
Current liabilities			
Sundry creditors		8,100	
Rent accrued		360	8,460
Total capital and liabilities			**48,072**